

25STCV30919 25STCV30919

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Case Number: 25STCV30919 Hearing Date: July 29, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: July 29, 2026 TRIAL

DATE: Not set

CASE: Ruilian

Huang, et al. v. Margaret Hsu, et al.

CASE NO.: 25STCV30919

DEMURRER

WITHOUT MOTION TO STRIKE

MOVING PARTY: Defendants Fenping Wang and

Zhigang Li

RESPONDING PARTY: Plaintiffs Ruilian Huang and Rongkai Li

I. BACKGROUND

On October 22, 2026, plaintiffs

Ruilian Huang ("Huang") and Rongkai Li ("RLi") commenced this action against

defendants Margaret Hsu ("Hsu"); Alice Ma ("Ma"); Zhigang Li ("ZLi"); Jennifer

Long ("Long"); IBIS Financial Corporation ("IBIS"); Fenping Wang, a/k/a Asha

Wang ("Wang"); CC&N Investment LLC ("CC&N"); Michelle Chen ("Chen");

ABC Funding ("ABC"); GMCC Loan ("GMCC"); and DOES 1 to 250, inclusive; and all

persons claiming by, through, or under such entities or persons; and all persons unknown, claiming any legal or equitable right, title, estate, lien, or interest in the real property described in the complaint adverse to Plaintiff's title, or constituting any cloud on Plaintiff's title thereto (collectively, "Defendants").

The operative pleading is the First

Amended Complaint ("FAC") filed on May 1, 2026.

The FAC alleges causes of action against defendants for: (1) Rescission under TILA 15 U.S.C. § 1635; (2) Violation of 12 C.F.R. § 1026.43(c) and 15 U.S.C. § 1639c(a) (Failure to Conduct an Ability to Repay Analysis); (3) Violation of 12 C.F.R. §1026.34(a)(8) and 15 U.S.C. 1639(k) (Impermissible Late Fee); (4) Violation of 12 C.F.R. §1026.32(d)(4) and 15 U.S.C. § 1639(d) (Impermissible Default Interest); (5) Violation of 12 C.F.R. §1026.32(d)(1)(i) and 15 U.S.C. § 1639(e) (Impermissible Balloon Payment); (6) Violation of 12 C.F.R. §1026.32(d)(6) and 15 U.S.C. § 1639(c) (Impermissible Prepayment Penalty); (7) Violation of 12 C.F.R. §1026.34(a)(5)(Failure to Obtain Pre-Loan Counseling); (8) Breach of Contract; (9) Breach of Fiduciary Duty; (10) California Business and Professions Code § 17200; (11) Usury; (12) Wrongful Foreclosure; (13) Cancellation of Instrument; (14) Violation of Business and Professions Code §10232.45; and (15) Declaratory Relief.

On

June 16, 2026, Wang and ZLi ("Demurring Defendants") filed separate Demurrers to the FAC. On July 16, 2026, Plaintiffs filed their Oppositions. On July 21, 2026, Wang filed a Reply. On July 22, 2026, ZLi filed a Reply.

As a preliminary

matter, the Court notes that the demurrers are substantially similar as it pertains to the arguments raised by the Demurring Defendants. (See Wang Dem. at pp. 8-16; ZLi Dem. at pp. 3-9.) Accordingly, the Court addresses the demurrers jointly below.

II. LEGAL STANDARD

"The primary function of a pleading is to

give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.);

“A demurrer tests the legal sufficiency of the factual allegations in a complaint.” (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether “the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (Id.) The Court does not “read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint ‘as a whole and its parts in their context.’ [Citation.]” (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court “assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (Harris, supra, 56 Cal.4th p. 240.) “The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]” (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc., § 92, subd. (c).)

A demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616.) “[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695 [internal quotations omitted].)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

III. DISCUSSION

A.

Meet
and Confer

Prior to filing a demurrer, the demurring party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41.)

Here, Wang's counsel of record, Virginia Liu attests to the following meet and confer efforts: "On June 16, 2026, I met and conferred with Plaintiffs' counsel by telephone regarding the grounds for demurrer set forth in the June 8, 2026 letter. The parties were unable to resolve the issues raised, and Defendant accordingly proceeded with the filing of this demurrer." (Liu Decl., ¶¶2-3, Ex. B.) Likewise, ZLi's counsel of record, Lisa Anne Coe, states that: "On May 29, 2026 I sent an email to Plaintiffs' counsel Heidi Cheng, identifying the grounds for demurrer and inviting discussion. We then had a telephonic meet and confer on June 4, 2026 but were unable to resolve any of the issues discussed." (Coe Decl., ¶2.)

Therefore, the Court finds that the Demurring Defendants fulfilled their meet and confer obligations prior to filing their instant demurrers.

B.

Analysis

Demurring

Defendants demur to all fifteen causes of action ("COA") asserted in the FAC on the grounds that (1) Plaintiffs fail to plead sufficient facts to constitute a cause of action against them; (2) the FAC is uncertain; and (3) the FAC improperly joins multiple unrelated parties without alleging that the claims arise from the same transaction or series of related transactions.

1.

Truth in
Lending Act ("TILA") Claim (1st COA)

Under TILA,

“Congress provided the consumer with the right to rescind a credit transaction under § 1635(a) solely by notifying the creditor within set time limits of his intent to rescind.” (Williams v. Homestake Mortg. Co. (11th Cir. 1992) 968 F.2d 1137, 1139.) “Under § 1635(b), however, all that the consumer need do is notify the creditor of his intent to rescind. The agreement is then automatically rescinded and the creditor must, ordinarily, tender first. Thus, rescission under § 1635 ‘place[s] the consumer in a much stronger bargaining position than he enjoys under the traditional rules of rescission.’ ” (Id. at 1140.) “[A]nother goal of § 1635(b) is to return the parties most nearly to the position they held prior to entering into the transaction.” (Id.) Furthermore, “plaintiffs can state a claim for rescission under TILA without pleading that they have tendered, or that they have the ability to tender, the value of their loan. Only at the summary judgment stage may a court order the statutory sequence altered and require tender before rescission—and then only on a “case-by-case basis,” once the creditor has established a potentially viable defense.” (Merritt v. Countrywide Financial Corp. (9th Cir. 2014) 759 F.3d 1023, 1033.)

Demurring

Defendants argue this claim fails because: (1) Plaintiffs lack standing; (2) the claims for monetary damages under TILA are time-barred; and (3) TILA does not apply to non-consumer transactions.

a. TILA Standing

“Except as otherwise provided in this section, in the case of any consumer credit transaction (including opening or increasing the credit limit for an open end credit plan) in which a security interest, including any such interest arising by operation of law, is or will be retained or acquired in any property which is used as the principal dwelling of the person to whom credit is extended, the obligor shall have the right to rescind the transaction until midnight of the third business day following the consummation of the transaction or the delivery of the information and rescission forms required under this section together with a statement containing the material disclosures required under this subchapter, whichever is later, by notifying the creditor, in accordance with regulations of the Bureau, of his intention to do so.” (15 U.S.C. § 1635, subd. (a) [emphasis added].) As such, TILA limits standing

to the borrower, i.e., the consumer who is a party to the credit transaction and whose dwelling secures the loan. (See generally, *Jesinoski v. Countrywide Home Loans, Inc.* (2015) 574 U.S. 259, 260; *Yamamoto v. Bank of New York* (9th Cir. 2003) 329 F.3d 1167, 1171.)

The

FAC alleges, inter alia, that on or about July 30, 2024, Plaintiffs were fraudulently caused to purchase the real property located at 655 Alder Way, Montebello, CA 90640 (the “Subject Property”) pursuant to a Grant Deed recorded in on July 30, 2024. (FAC, ¶34.) The loans are fraudulent because Plaintiff have never engaged the lender, brokers, or Defendants including the DOES. (Id., ¶37.) At all relevant times, Plaintiffs were in China and never communicated with Defendants. (Id.) All documents signed and obtained by Defendants were signed on behalf of Plaintiffs via a fraudulently obtained power of attorney (“POA”). (Id., ¶¶37-38.) The loans were secured against the Subject Property by two Deeds of Trust dated July 26, 2024 and recorded on July 30, 2024. (Id., ¶¶39, 42, Exs. 1-2.)

Taking these

allegations as true, Plaintiffs allege that they did not personally signed and obtain the loans at issue. The FAC further alleges that POA used to obtain the two loans in their names was fraudulently procured. Although there is no California or Ninth Circuit case, which addresses TILA standing where a plaintiff’s name was used to obtain a loan via a fraudulent power of attorney, in *In re Crevier* (9th Cir. 1987) 820 F.2d 1553, the Ninth Circuit held that “a Chapter 7 debtor who conveys an unauthorized lien on estate property fails to state a TILA claim for rescission of the lien.” (*In re Crevier* (9th Cir. 1987) 820 F.2d 1553, 1554.) The Ninth Circuit in *In re Crevier* further reasoned that “a debtor cannot convey a security interest in property owned by a third person.” (Id. at 1556.) To the extent the FAC alleges that the purchase of the Subject Property was fraudulently procured through the fraudulent POA, Plaintiffs effectively fail to plead facts showing that they are owners of the Subject Property and/or have a security interest in Subject Property.

By contrast, the

court in *Gonzalez v. Specialized Loan Servicing, LLC* (C.D. Cal. 2023) 691 F.Supp.3d 1162, held that “Given the remedial nature of TILA, Congress’s intent to protect consumers, and the courts’ mandate that TILA be liberally construed, the term ‘obligor[s]’ must necessarily be construed to include those

whom the creditor claims are obligors, as well as individuals who are in fact obligors in the contract law sense.” (Gonzalez v. Specialized Loan Servicing, LLC (C.D. Cal. 2023) 691 F.Supp.3d 1162, 1170.) Here, the FAC does allege that on September 24, 2025, ZLi and DOES 1 through 25 caused a Notice of Default and Election to Sell to be recorded against the Property, indicating a mortgage default of \$598,888.50. (FAC, ¶56.) Thus, it can be reasonably inferred that Defendants considered Plaintiffs “obligors” for purposes of TILA.

b. TILA Statute of Limitations

Under Section

1635, subdivision (f), “TILA rescission may be extended up to three years if the lender fails to comply with TILA disclosure requirements.” (Saldate v. Wilshire Credit Corp. (E.D. Cal. 2010) 268 F.R.D. 87, 95.) “The subsection says nothing in terms of bringing an action but instead provides that the ‘right of rescission [under the Act] shall expire’ at the end of the time period.” (Id.) Essentially, “[a]ny claim for rescission must be brought within three years of consummation of the transaction or upon the sale of the property, whichever occurs first ...” (Ortiz v. Accredited Home Lenders, Inc. (S.D. Cal. 2009) 639 F.Supp.2d 1159, 1163.)

Demurring

Defendants do not challenge the timeliness of the Plaintiffs’ underlying TILA claim but rather their request for statutory damages set forth in TILA. (See FAC, Prayer for Relief, ¶¶C-E.) Where a plaintiff seek statutory damages under TILA, “Section 1640(e) provides that ‘[a]ny action under this section may be brought within one year from the date of the occurrence of the violation.’ ” (King v. State of Cal. (9th Cir. 1986) 784 F.2d 910, 913.) “[T]he limitations period in Section 1640(e) runs from the date of consummation of the transaction but that the doctrine of equitable tolling may, in the appropriate circumstances, suspend the limitations period until the borrower discovers or had reasonable opportunity to discover the fraud or nondisclosures that form the basis of the TILA action.” (Id. at 915.) In order to rely on the discovery rule for delayed accrual of a cause of action, ‘[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.’ ” (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 808.)

The FAC alleges, inter alia, that the loans were secured against the Subject Property by two Deeds of Trust dated July 26, 2024 and recorded on July 30, 2024. (Id., ¶¶39, 42, Exs. 1-2.) These loans were taken without Plaintiffs' knowledge, which Plaintiffs did not discover until sometime in mid-2025.

Taking these allegations as true, the FAC merely alleges in a conclusory manner that Plaintiffs' did not discover these loans were taken without their knowledge. The FAC is otherwise devoid of any specific facts as to the time and manner of the discovery. The FAC also fails to allege why Plaintiffs' were unable to discover this information earlier. Therefore, Plaintiffs' request for damages under TILA are time-barred.

c. TILA Does Not Apply to Non-Consumer Transactions

TILA protects "consumer credit transactions" entered into "primarily for personal, family, or household purposes." (15 U.S.C. § 1602, subd. (i).) Contrarily, TILA does not apply to "Credit transactions involving extensions of credit primarily for business, commercial, or agricultural purposes, or to government or governmental agencies or instrumentalities, or to organizations." (15 U.S.C. § 1603, subd. (1) [emphasis added].) However, the Court in *Thorns v. Sundance Properties* (9th Cir. 1984) 726 F.2d 1417, held that an investment made be entered into for "personal purposes" under TILA. (*Thorns v. Sundance Properties* (9th Cir. 1984) 726 F.2d 1417, 1418–1419.) "In determining whether credit to finance an acquisition—such as securities, antiques, or art—is primarily for business or commercial purposes (as opposed to a consumer purpose), the following factors should be considered: The relationship of the borrower's primary occupation to the acquisition. The more closely related, the more likely it is to be business purpose. The degree to which the borrower will personally manage the acquisition. The more personal involvement there is, the more likely it is to be business purpose. The ratio of income from the acquisition to the total income of the borrower. The higher the ratio, the more likely it is to be business purpose. The size of the transaction. The larger the transaction, the more likely it is to be business purpose. The borrower's statement of purpose for the loan." (Id. at 1419.)

The FAC alleges,

inter alia, that “the subject investment was for a consumer purpose as opposed to business or commercial purposes.” (FAC, ¶17.) “This action concerns a highly predatory and illegal home loan secured by a first and second mortgage on Plaintiffs’ real property which is used primarily for personal, family, or household purposes. The defendants are investors/lenders/brokers that funded the loan and the mortgage brokers who originated and then serviced the loan.” (Id., ¶19.) “[T]he subject loan term was 12 months, the loan amount was \$1,630,000 and \$570,000.00 the interest rate was 11.00%, resulting in a fully amortized monthly payment of \$20,166.67.” (Id., ¶¶30, 38, 55, 126-127.) “Plaintiffs have limited to no experience with real property investments and related mortgages here in the United States.” (Id., ¶33; see also ¶147.) “Pursuant to Business and Professions Code §10232.45, a broker shall make reasonable efforts to ensure that for notes secured by a lien on real property, all person to whom notes are sold can be reasonably assumed to have the capacity to understand the fundamental aspects of the investment, by reason of their education, business, or financial experience, that they can bear the economic risk of the investment, and that the notes are suitable and appropriate for the purchaser.” (Id., ¶146.)

Taking

these allegations as true, the Plaintiffs’ entered into the loan transactions for business or commercial purposes, i.e., real property investment purposes. Furthermore, the FAC seeks to hold Defendants liable under Business and Professions Code Section 10232.45, which make further references to investment and economic risks associated with investments. Finally, the loan amounts are large, totaling over a million dollars, thus further supports the TILA claim is based on a transaction for business and/or commercial purposes as opposed to a personal purpose.

To the extent

that Plaintiffs contend they can amend their claims to cure any deficiencies and the liberal policy for amendments, the demurrer to the first cause of action is SUSTAINED with leave to amend. Likewise, Regulation Z and HOEPA fall under TILA, therefore, the demurrers to the second through seventh causes of action are also SUSTAINED with leave to amend.

2.

Common Law

Claims (8th – 9th, 11th – 12th

COAs)

A party may plead inconsistent facts or theories in the alternative. (*Crowley v. Katleman* (1994) 8 Cal. 4th 666, 691; see also *Adams v. Paul* (1995) 11 Cal. 4th 583, 593; *Third Eye Blind, Inc. v. Near North Entertainment Ins. Services, LLC* (2005) 127 Cal.App.4th 1311, 1323.) “Inconsistencies between alternative counts cannot be attacked by demurrer, since each count stands on its own allegations, unaffected by those contained in other counts.” (*Penziner v. West American Finance Co.* (1933) 133 Cal.App. 578, 582.)

Here,

Plaintiffs plead the eighth cause of action breach of contract in alternative to their TILA claim. (See FAC, ¶102.) Establishing a breach of contract claim, “requires a showing of (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (*D’Arrigo Bros. of California v. United Farmworkers of America* (2014) 224 Cal.App.4th 790, 800 (internal quotations omitted).) “Further, the complaint must indicate on its face whether the contract is written, oral, or implied by conduct.” (*Otworth v. Southern Pac. Transportation Co.* (1985) 166 Cal.App.3d 452, 458–459.) Generally, if the claim is based upon a written contract, the complaint must set out the contract’s terms verbatim or the plaintiff must attach a copy of the written contract to the complaint and incorporate it by reference. (*Id.*) Otherwise, “a plaintiff may plead the legal effect of the contract rather than its precise language.” (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 198–199.) The FAC alleges that Plaintiffs performed all their obligations under the loan agreements. (FAC, ¶105.) Defendants breached the loan agreements by seeking to collect the Default Interest Rate charges, which is a liquidated damages penalty clause in a consumer contract. (*Id.*, ¶¶103-104.) Plaintiffs were damaged and harmed as a result of Defendants’ breach. (*Id.*, ¶106.) Reading the FAC as a whole, it fails to allege that the transactions were for consumer purposes as opposed to business and/or commercial purposes. Therefore, the FAC fails to sufficiently allege a claim for breach of a consumer contract.

With respect to

the ninth cause of action for breach of fiduciary duty, plaintiff must plead: “(1) the existence of a fiduciary relationship, (2) its breach, and (3) damage

proximately caused by that breach.” (O’Neal v. Stanislaus County Employees’ Retirement Assn. (2017) 8 Cal.App.5th 1184, 1215.) The FAC alleges that Defendants were Plaintiffs’ mortgage brokers, lenders, and/or agents in the subject loan transactions, thus owed them a fiduciary duty to make full and accurate disclosure of the terms of the loans, act in good faith towards Plaintiffs, and disclose material facts concerning the transactions. (FAC, ¶¶108-109.) Defendants breached their fiduciary duties when they put Plaintiffs in a highly predatory and unlawful loan; imposed illegal charges; failing to advise Plaintiffs they were likely to default on the loans; and foreclosing on the Subject Property. (Id., ¶¶110-111.) Plaintiffs suffered damages as a result of these breaches. (Id., ¶113.) “However, as a general rule, a financial institution owes no duty of care to a borrower when the institution’s involvement in the loan transaction does not exceed the scope of its conventional role as a mere lender of money.” (Nymark v. Heart Fed. Savings & Loan Assn. (1991) 231 Cal.App.3d 1089, 1096.) “Thus, for example, a lender has no duty to disclose its knowledge that the borrower’s intended use of the loan proceeds represents an unsafe investment.” (Id.) The FAC is devoid of any conduct by Defendants that exceeded their scope as lenders. Nevertheless, “[a] mortgage loan broker owes a fiduciary duty of the “highest good faith toward his principal” and “is ‘charged with the duty of fullest disclosure of all material facts concerning the transaction that might affect the principal’s decision.’ ” (Barry v. Raskov (1991) 232 Cal.App.3d 447, 455.) “The broker owes this duty to the lender-investor as well as to the borrower.” (Id.) The FAC alleges that Defendants were not just lenders but brokers and/or agents of Plaintiffs’ as it pertains to the loan transactions.

As to the eleventh cause of action for usury, “[t]he essential elements of usury are: (1) The transaction must be a loan or forbearance; (2) the interest to be paid must exceed the statutory maximum; (3) the loan and interest must be absolutely repayable by the borrower; and (4) the lender must have a willful intent to enter into a usurious transaction.” (Creative Ventures, LLC v. Jim Ward & Associates (2011) 195 Cal.App.4th 1430, 1449.) “That willful intent ‘does not require a conscious attempt, with knowledge of the law, to evade it. The conscious and voluntary taking of more than the legal rate of interest constitutes usury and the only intent necessary on the part of the lender is to take the amount of interest which he receives; if that amount is more than the law allows, the offense is complete.’ ” (Id. at 1449–1450.) Here, the FAC alleges that “Defendants loaned to Plaintiffs the total sum of

\$1,630,000.00 and \$570,000.00 at the usurious rate of 11.00%. These Loans fall within the usury statutes.” (FAC, ¶126.) “[T]he effective rate of interest on the Note exceeds the maximum rate allowed by the California Constitution Article XV, Section One,....” (Id., ¶127; see also ¶128-129.) On the other hand, “Section 1 of article XV of the California Constitution imposes certain limitations on the amount of interest that can be charged on a loan. That provision also contains an exemption for “any loans made or arranged by any person licensed as a real estate broker by the State of California and secured in whole or in part by liens on real property.” (Bock v. California Capital Loans, Inc. (2013) 216 Cal.App.4th 264, 268.) The FAC explicitly alleges that “Defendants HSU, MA, LI, LONG, IBIS, WANG, CC&N, CHEN, ABC, and GMCC are lenders, brokers, and/or agents of lenders and brokers, that conspired together and gave substantial assistance to each other to offer and provide illegal and predatory loans to consumers such as Plaintiffs.” (FAC, ¶11.) As such, it can be reasonably inferred that Defendants including Demurring Defendants were licensed real estate brokers in California, who made or arranged the loans alleged therein.

Regarding the

twelfth cause of action for wrongful foreclosure, the gravamen of this claim Defendants alleged violation under TILA and Business and Professions Code Section 17200 (derivative remedy). Accordingly, the demurrers to the eighth, eleventh, and twelfth causes of action are SUSTAINED with leave to amend. The demurrers as to the ninth cause of action are OVERRULED.

3.

Violation of

Business & Professions Code Section 10232.45 (14th COA)

Under Business

& Professions Code Section 10232.45, subdivision (a): “Any broker subject to the provisions of Section 10232.3 or Article 6 (commencing with Section 10237) shall make reasonable efforts to ensure all of the following with respect to the offer or sale of notes or interest in notes to be secured by a lien on real property or a business opportunity: [¶](1) All persons to whom notes or interests are sold can be reasonably assumed to have the capacity to understand the fundamental aspects of the investment, by reason of their educational, business, or financial experience. [¶](2) All persons to whom notes or interests are sold can bear the economic risk of the investment. [¶](3) The investment in the notes or interests is suitable and appropriate for the

purchaser, given the purchaser's investment objectives, portfolio structure, and financial situation.” (Bus. & Prof. Code, § 10232.45, subdivision (a).

The FAC alleges, inter alia, that Defendants knowingly or negligently put Plaintiffs in highly predatory and unlawful loans. (FAC, ¶148.) Defendants then failed to make any reasonable efforts to advise or notify Plaintiffs that they were likely to default on the loans. (Id., ¶149.) Defendants also failed to make any reasonable efforts to ensure Plaintiffs had the capacity to understand the nature of the Loans before the promissory notes were entered into. (Id., ¶150.) However, the FAC is devoid of any facts that Plaintiffs entered into a purchases notes or interest in notes to bring this action within the purview of the statute. Moreover, the FAC does not contain any allegations that Plaintiffs were offered the sale of notes or interests in notes by Defendants. Therefore, the FAC fails to show on its face that Business & Professions Code Section 10232.45 applies to this case.

4.

Derivative

Remedies (10th, 13th, 15th COAs)

The tenth, thirteenth, and fifteenth causes of action are derivative remedies for the TILA, Business and Professions Code, Regulation Z, and HOEPA claims. Therefore, the demurrers to these causes of action are also SUSTAINED with leave to amend.

IV. CONCLUSION

Based on the foregoing, the demurrers to the first through eighth and tenth through fifteenth causes of action are SUSTAINED with 20 days leave to amend. The demurrers as to the ninth cause of action are OVERRULED.

Defendant Fenping Wang is ordered to give notice.

Dated: July 29, 2026

Brock T. Hammond

Judge of the Superior
Court